

FLNC pitch deck

PITCH — FLNC — VERDICT

PROPOSED — PENDING ADJUDICATION — minimum starter (0.25–0.50% of book) on a price gate *below* today's \$11.20, explicitly not owning the November print; no immediate buy.

What we believe

Fluence Energy builds and sells grid-scale battery storage systems — large containerized battery installations that utilities and data centers use to store power. It also licenses software to run them. Revenue is roughly \$3B/year. The stock is \$11.20, down 67% from its 52-week high of \$33.51, but already up ~70% from its \$6.60 low.

The whole stock right now hinges on one quarter. The company's own fiscal-2026 guidance requires its closing quarter (July–September 2026, reported in November) to do \$1.31–1.51B of revenue against roughly \$650M in the prior quarter, and to swing adjusted EBITDA from –\$29.3M to somewhere between +\$60.8M and +\$100.8M.

Two things we believe, both of which run against where the original bear brief and the red bench landed:

1. That quarter is not unusual for this company. Both benches initially treated a 2.0–2.3× step-up as extraordinary. It isn't. In fiscal 2024 the closing quarter was \$1,227.6M — **2.54× the prior quarter and 45.5% of the full year**, computed off the evidence pack's own quarterly series (Dec-23 \$364.0M + Mar-24 \$623.1M + Jun-24 \$483.3M = \$1,470.4M; FY24 total \$2,698M). The bear case's headline number was *less* demanding than what the company actually did two years ago. The brief's own table contained its own refutation.

2. The margin recovery everyone treats as required is not required. The bear case says the guidance secretly assumes gross margin snaps back to ~13%, and that a repeat of the recent weak margin blows up the EBITDA guide. Work the operating-expense bridge: last quarter's adjusted gross profit was \$38.6M against adjusted EBITDA of –\$29.3M, so adjusted operating expense is about \$68M. At the **10.6%** margin the company already printed net of its two named one-time charges, and holding opex flat:

Q4 revenue	Gross profit at 10.6%	Less ~\$70M opex	Required range
\$1.31B	\$139M	+\$69M	+\$60.8M to +\$100.8M ✓
\$1.41B	\$149M	+\$79M	✓
\$1.51B	\$160M	+\$90M	✓

It clears at every point of the company's own revenue range. Management does not need a margin recovery. It needs the margin it already has and revenue anywhere inside its own guidance.

3. Nobody priced it. Neither bench produced a fair value. At \$11.18 the enterprise value is about **\$2.10B** (184.60M shares — 143,163,588 Class A plus 41,432,781 Class B-1 — plus \$400M of convertible notes at face, less \$365M of cash and restricted cash). Against roughly \$3.3B of contracted work the company says converts over the next twelve months, that is **0.64× enterprise value to sales** — for a business with a \$6.4B contracted order book, a stated \$33.1B pipeline, orders up 3× year-over-year, and ~\$850M of data-center wins.

So: a cheap, contracted, unloved industrial, where the two named reasons to stay away both broke when we checked the arithmetic. That is worth a small position on a lower price — not a conviction buy at the current price, and not through the print.

What the market believes

The market believes this is a company whose margins are structurally broken and whose big closing quarter is a promise, not a fact. The stock trades below 0.7× sales because the market is pricing the risk that the quarter slips, that the “one-time” charges keep recurring, or that fixed-price contracts signed at old prices get delivered against costs that moved.

There is also a large short position — reportedly about 23% of the float with roughly 9.4 days of average volume to cover. **This figure is from a secondary source and we could not verify it against FINRA.** If it is right, the pessimistic view is not a lonely one; it is the consensus expression, and it is crowded.

Published analyst estimates for the quarter are **\$1.53B of revenue and +\$0.39 of earnings per share** — above the top of the company’s own revenue guidance and, on our arithmetic, above what the company’s own EBITDA guidance can arithmetically produce ($+\$0.39 \times 184.6\text{M shares} \approx +\72M of net income, against an adjusted EBITDA ceiling of ~\$101M *before* depreciation, interest on \$400M of notes, and tax). We think that consensus print is stale or on a mismatched basis. We flag it, and we do not lean on it.

Finally: the market does *not* appear to have noticed that fiscal-2024’s closing quarter was even more concentrated than the one now required. That is the specific belief we think is wrong.

Why we might have edge

- **Arithmetic nobody redid.** The fiscal-2024 base effect (2.54×, 45.5% of the year) is in the evidence pack’s own quarterly series. It takes three additions. It refutes the loudest bear line and we have not seen it anywhere in coverage.
- **An operating-expense bridge nobody built.** The finding that a 10.6% margin clears the EBITDA guide across the *entire* revenue range is derived from two numbers in the earnings release. Both the original brief and our own red bench got this wrong in opposite directions — the brief said it fails, red said it barely passes at the low end only. It passes everywhere.
- **A share-count trap nobody sees.** Fluence has an “Up-C” structure: the founders (AES and Siemens) hold units in an operating subsidiary rather than ordinary shares. In May 2026, AES

converted **10,066,414** of those units into ordinary Class A shares; its non-controlling stake fell from 28.19% to 22.45%. Total economic ownership did not change — so **no dilution occurred** — but about 10 million newly sellable shares appeared, followed by Form 144 sale notices on 2026-06-15 and three more on 2026-06-22. This also explains why the evidence pack’s diluted-share series alternates between ~129M and ~184M: that is two different accounting bases, **not dilution**. Standard screens see nothing here. We filed this as a new reusable pattern.

- **A pricing gap.** The court reached a “stay flat” instinct without ever computing what the business is worth. $0.64\times$ sales on a contracted book is a number that has to be argued with, not ignored.

Why it might be priced in

Honestly assessed, the edge is narrower than the above makes it sound.

- **The stock has already doubled off the low.** At +70% off \$6.60, this is not an undiscovered dislocation. Somebody has already re-rated it. Anchoring on “down 67% from the high” flatters the setup; the low-anchored number is the honest one.
- **The bear thesis is a well-populated trade.** A ~23% short position (unverified) means the pessimistic case is not proprietary. Neither is ours: “cheap on contracted backlog, closing quarter is seasonal” is a readable thesis, and it is available to anyone who reads the 10-Q.
- **The two things that actually decide the outcome are unknowable before the print.** Whether the one-time charges were genuinely one-time, and whether the contract-manufacturing line ships enough units — neither resolves from public documents. We have an arithmetic edge on what the guide *requires*. We have no edge on whether it is *met*.
- **The genuinely bearish leg is real and dated.** Management says its Houston contract-manufacturing line reaches full production in **fiscal Q1 2027 — after the guided quarter**. That constrains units shippable, which no backlog or deferred-revenue argument can fix. This is the strongest thing in the bear file and it survived the whole court.
- **Coverage exists.** This is not an orphan security. There is published consensus and sell-side attention. The “nobody is looking” premium does not apply.

What could go wrong

Failure narrative 1 — Revenue lands, margin doesn’t, because operating expense scales with the ramp. Our central result (the margin recovery isn’t required) holds operating expense flat at ~\$70M while revenue more than doubles. That is a real weakness and we should say so plainly. If opex runs at \$85M instead — perfectly plausible in a quarter shipping 2.3× the prior quarter’s volume — then at \$1.31B and 10.6% margin the EBITDA lands at **+\$54M, below the +\$60.8M floor**, and the guide misses. The entire “no snapback needed” conclusion is one operating-leverage assumption away from inverting. *Tripwire: partial*. The quarterly report itself. Nothing before it.

Failure narrative 2 — The line doesn’t ship. The Houston constraint is supply-side and dated after the quarter. If throughput comes in short, revenue slips into fiscal 2027, the \$783.0M of inventory

sits — that inventory currently pre-stages 58–67% of the required quarter’s cost of goods, which is bullish if it ships and a write-down vector if it doesn’t, since those are fixed-price contract cells against a falling cell-price curve. Meanwhile the liquidity story degrades: recognizing the \$956.5M of customer deposits into revenue is **non-cash**, so the quarter that saves the income statement drains the balance-sheet cushion. Nine-month operating cash flow was –\$366.5M *while* deposits built \$316M; excluding that build, the cash burn was roughly \$683M. *Tripwire: exists but currently broken*. Customs bill-of-lading data on cell and module import cadence for July–October is the only external read. Our pull returned zero consignees for a company carrying \$783M of imported-cell inventory — that is a failed query, not a clean negative, and it must be re-run.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. A private counterparty change.

Three customers are **48% of nine-month revenue** (up from two customers at 40%), and the founder-shareholders AES and Siemens are themselves related-party customers responsible for **\$272.1M of that revenue**. Any of the following would move the stock and would produce no filing until it is already in the numbers: a bilateral contract renegotiation on price or schedule; a customer deferring delivery to manage its own capital budget; a founder-shareholder making a strategic decision about its stake or its purchasing relationship; a cell supplier changing terms. We do not even know who the cell supplier is — the company disclosed a \$15M battery prepayment without naming the counterparty, so we cannot screen it.

Unknown-unknown class, named: *private bilateral counterparty action*. This is the category of risk where the deciding event happens inside a commercial negotiation between two parties, produces no public artifact, and becomes visible only as an aggregated number in a quarterly filing. Concentration is what makes it lethal here: with 48% of revenue in three counterparties, one private conversation is a thesis-level event. There is no sensor for this. There cannot be one. It is the single best argument for keeping the position small.

The reflexive and structural leg.

- **Our own size is not the problem, and saying so is not a compliment to us.** At 0.25–0.50% of book against a ~\$2.1B-capitalization name, our order is a rounding error on any plausible daily volume. (We did not verify FLNC’s average daily volume — it is on the unverified list.) We cannot blame execution if this loses money. It will lose money because the analysis was wrong.
- **We would be creating the exact structure our own doctrine forbids.** A resting good-till-cancelled buy at \$9.60 sitting into a November earnings report is not a value entry — it is an accidental bet that the stock *won’t* move violently. It fills automatically on a gap-down, at the worst possible information moment, before we know why. **Any gate placed under this pitch must be cancelled before the print date and re-entered by hand afterward.** This is the single most likely way to convert a disciplined plan into an undisciplined position.
- **We would be bidding beneath predicted forced flow.** AES’s ~10M newly sellable shares are supply we have identified and dated. Putting a bid under a supply event we ourselves predicted means we are the liquidity for it.

- **Doctrine interaction, and it cuts against us.** This position exists because *no one named a surviving kill* — the desk's default is a minimum starter when a clean court produces no named kill. That is a procedural reason to own something, not a positive reason. It is materially weaker than conviction and should be treated that way in sizing. Separately, the desk's record on owning earnings dislocations is **0 for 7**, which is precisely why the plan does not own the print.
- **Two housekeeping interactions to clear before any buy:** check the Parametric separately-managed sleeve for an existing FLNC holding (a duplicate creates a wash-sale entanglement we would be creating on purpose), and note that any position held under a year is taxed at ordinary income rates on exit.

If this position loses money, the most likely reason will be that we correctly established the company *can* hit its guidance without a margin recovery, and it missed anyway — because operating expense scaled with the volume ramp, the Houston line shipped late, or one of three concentrated customers quietly moved a delivery — and we discovered all three at once, from the same press release, having already been filled at our lower gate on the opening gap.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Required Q4 is the most concentrated in company history” (the original brief's headline reason to avoid)	Re-added the evidence pack's own quarterly revenue series for FY24	FY24 Q4 = \$1,227.6M = 2.54× prior quarter, 45.5% of the year — <i>more</i> concentrated than what's now required	No — our own brief was wrong. Refuted on its own table
“Only 48–53% of the \$6.4B order book converts in 12 months, so one quarter must absorb 40–49% of a year's conversion” (our red bench's <i>nominated strongest kill</i>)	Read the same disclosure; tested whether the estimate caps any single quarter	It does not. A book converting ~50% in year one is front-loaded by construction. Applying this company's own seasonality to \$3.07–3.39B puts the quarter at ~\$1.3–1.6B — the guide, not a miss	No — our red bench's best finding was an artifact. It caught the brief's base-effect trick, then committed one of its own
“The two disclosures conflict, so the company is hiding something” (red flagged a disclosure-consistency alert)	Compared the bases: order-book-over-12-months vs backlog-coverage-of-guidance	Different denominators over different windows, both disclosed, neither contradicting the other. The alert should not have fired	No — false positive on our own detector
“Net debt is only ~\$53M, so this isn't a levered balance sheet” (the brief)	Compared customer deposits to cash	Deferred revenue \$956.5M (from \$640.5M) vs cash + restricted \$365M. Customer advances exceed <i>all</i> cash by ~\$591M. And recognizing deposits as revenue is non-cash — the quarter that fixes earnings drains the cushion	No — the brief's basis was wrong. Red was right; this is a real correction
“A 10.6% margin print misses the EBITDA guide” (the brief)	Built the operating-expense bridge from the earnings release, then ran it across the <i>full</i> revenue range	+\$69M / +\$79M / +\$90M at \$1.31B / \$1.41B / \$1.51B — inside the required range everywhere. Red refuted this at the low end only and under-refuted it	No — and both benches under-tested it. This became the court's actual result

Claim	How checked	Found	Confirmed?
Does that result survive rising opex?	Our own stress test, not run by either bench	At \$85M opex and \$1.31B revenue it lands at +\$54M and misses . The court's central finding is one assumption deep	Fragile — stated as a named risk above
Is “10.6% margin” a margin the company actually printed?	Traced it back	It is the printed margin (~5.9%) <i>after adding back two one-time charges</i> . Whether those recur is unresolvable before the print	Partially — normalized, not reported
Consensus is \$1.53B revenue / +\$0.39 EPS	Checked the EPS against the company's own EBITDA ceiling	+\$0.39 × 184.6M ≈ +\$72M net income, against ≤+\$101M of EBITDA before depreciation, interest, and tax. Arithmetically near-impossible	No — secondary, unverified, and internally implausible. Downgraded; not load-bearing
Diluted share count swings between 129M and 184M — is the company diluting?	Traced to the Up-C structure and the AES unit redemption	Two accounting bases, not dilution. Total economic units unchanged. But ~10M newly sellable shares did appear, followed by four Form 144 notices	Yes — real supply, zero dilution. Best catch in the red file
“Working capital need forces an equity raise”	Read the credit facility disclosure	\$500M revolver, \$0 drawn , \$193M letters of credit, \$307M available , matures 2027-11-22 — covers most of the stated \$300–500M need. No forced dilution	Yes — and it cuts for the company
“A covenant cliff hits 2027-01-01” (red)	Attempted to fetch the credit agreement amendment	Could not fetch the exhibit. Red labeled it unverified itself. Cannot size anything	No — unresolved. A finding resting on an unfetched document carries no weight
Convertible note terms	Evidence pack's own XBRL tag (0.0468472 per \$1,000)	\$400M, 2.25%, due 2030-06-15, converts at \$21.35 — 91% above the current price. Non-issue for years	Yes
Did our detector suite actually run?	Reviewed both benches' checklists	The customs-data check returned zero shipping consignees for a company holding \$783M of imported inventory — an infrastructure failure reported as a clean negative. Our facilities data geocoded offices and missed the Houston plant , the only site that matters. Red also skipped four registry entries blue caught, including an unresolved tax-agreement value-leak vector	No — three separate infrastructure failures. Fixing the customs pull is priority one

Primary source for the filing facts above: [Fluence Energy 10-Q for the quarter ended 2026-06-30, filed 2026-08-05 · Q3 FY26 earnings release, Exhibit 99.1](#)

PROPOSED ENTRY BANDS

Neither bench produced a price level. Blue said “a courted price gate below current tape” without naming one; red said the stock “reprices off ~0.7× enterprise value to sales” without producing a fair

value. The levels below are derived by us from blue's own valuation anchor, and the arithmetic is shown so it can be argued with.

Method: enterprise value = (shares × price) + \$400M notes – \$365M cash. Shares = 184.60M. Revenue base = **\$3.3B**, the company's own estimate of 12-month conversion from its \$6.4B book. Today's \$11.18 = \$2.10B enterprise value = **0.64× sales**.

Level	Price	Multiple	Action	Size
Gate 1	\$9.60	0.55× sales	Open starter	0.25% of book
Gate 2	\$8.75	0.50× sales	First add	+0.25% (0.50% total — hard cap before the print)
Gate 3	\$7.85	0.45× sales	Second add — post-print only, requires a re-court	+0.25% (0.75% max)
Stand-down	below \$6.60	breaks the 52-week low	Do not add. Re-open the case from scratch	—
Trim	\$17.70	1.00× sales	Trim half	—
Exit review	\$21.35	the convertible conversion price	Full exit review; the capital structure changes character here	—

No purchase at \$11.20. The court did not produce a reason to pay today's price, and the stock has already run 70% off its low.

Sizing rationale, stated honestly: 0.25–0.50% is the desk's minimum starter. It is small because the position is generated by the *absence* of a surviving objection rather than the presence of conviction, and because 48% customer concentration carries a risk with no possible sensor.

Execution constraint — binding. Gates 1 and 2 must be **cancelled at least three trading days before the earnings date** and re-entered manually afterward. A resting order into a print is a bet against volatility we did not intend to make.

Catalyst dates: - ~**2026-11-07** — expected date-announcement press release. The company announced its last print about 16 days ahead (2026-07-20 for the 2026-08-05 report). This resolves the date question. - **2026-11-23 or 2026-11-30** — Q4/FY2026 results. **The date is unconfirmed and contested:** the pack's data-vendor date says 11/23 (which matches last year's Thanksgiving-Monday slot), one aggregator says 11/30. Two secondary sources, no company confirmation. ~61–66 trading days away. - **October–December 2026 (company fiscal Q1 2027)** — Houston contract-manufacturing line reaches full production, per management. **After** the guided quarter. - **2026-12-31**

— minimum-liquidity covenant of \$150M applies through this date. - **2027-01-01** — covenant steps to \$100M plus a leverage test of $\leq 3.50\times$. Against guided full-year adjusted EBITDA of $-\$30\text{M}$ to $+\$10\text{M}$, that test permits almost no net debt — meaning the \$307M revolver is freely drawable *before* this date and constrained after. **The exact covenant definition is unverified**; this must not size anything until the amendment text is read. - **2027-11-22** — revolver matures. - **2030-06-15** — convertible notes mature.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.6 (deck-provisional: breaks the 52-week low of \$6.6024; stand down and re-open the case, do not average)
- filing watch: S-3,424B5,8-K until 2027-02-22 (deck-provisional: any equity raise or at-the-market program before the print converts the size gate to a full stand-down)
- dated pack FLNC|2026-11-07: FLNC: expected press release naming the Q4/FY26 earnings date (~16 days ahead, per the Q3 precedent of 2026-07-20) (date confirmed=False)
- dated pack FLNC|2026-11-23: FLNC: Q4/FY26 results - data-vendor date, matches last year's Thanksgiving-Monday slot; do not own the print (date confirmed=False)
- dated pack FLNC|2026-11-30: FLNC: alternate Q4/FY26 results date carried by one aggregator; two secondaries disagree, no company source (date confirmed=False)
- dated pack FLNC|2026-12-31: FLNC: minimum total liquidity covenant of \$150M applies through this date (date confirmed=False)
- dated pack FLNC|2027-01-01: FLNC: covenant steps to \$100M liquidity plus leverage ratio $\leq 3.50:1.00$; permits near-zero net debt against guided EBITDA (date confirmed=False)
- dated pack FLNC|2027-11-22: FLNC: \$500M revolver matures (\$0 drawn, \$193M letters of credit, \$307M available today) (date confirmed=False)
- dated pack FLNC|2030-06-15: FLNC: \$400M 2.25% convertible notes mature; conversion price \$21.35 (date confirmed=True)

What remains unverified

Blocks the trade until resolved: - Import cadence for cells and modules, July–October 2026 (broken data pull, not a negative result). - Whether the earnings date is 2026-11-23 or 2026-11-30 — no company source.

Blocks adding, not starting: - Credit-agreement Amendment No. 4 text: is the $3.50\times$ leverage test triggered only on drawn balances, and how is EBITDA defined? Unfetched. - Whether a tax receivable agreement exists and how much economic value it routes to AES and Siemens on each unit conversion. Not checked by either bench. - Whether the two one-time charges are genuinely non-recurring. Unresolvable before the print. - Expected Q4 operating expense — the single assumption our central finding rests on.

Known but unclosed: - Short interest ~23% / 9.4 days to cover — secondary source only. - Analyst consensus \$1.53B / +\$0.39 — secondary, and internally implausible against the company's own guidance. - Identity of the \$15M battery-prepayment counterparty — undisclosed, so no supplier sanctions screen is possible despite likely China cell exposure. - Ownership, capacity, and full-production date of the Houston line — management statement, not verified in a filing by us. - Company pipeline claims (\$33.1B pipeline, orders up 3×, ~\$850M data-center wins) — all company-sourced, none independently checked. - Average daily volume and short-borrow availability — not pulled. - Live broker price — the brokerage data rail was permission-blocked for both benches. All prices here come from the evidence pack (\$11.18–\$11.315), cross-checked against a public quote page (\$11.29 on 8/25, day range \$11.04–11.96). **Refresh from the live rail before placing any order.** - Whether FLNC already sits inside the Parametric separately-managed sleeve — must be checked to avoid creating a wash-sale entanglement.

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